

Payment of Gratuity Act, 1972 - RAG Document

Introduction

The Payment of Gratuity Act, 1972 is a social welfare legislation in India that provides a statutory right to employees to receive gratuity as a retirement benefit for long and continuous service.

Applicability

The Act applies to factories, mines, oil fields, plantations, ports, railway companies, shops and other establishments with 10 or more employees.

Eligibility

An employee becomes eligible for gratuity after completing at least 5 years of continuous service. Exceptions exist in cases of death or disablement.

Definition of Gratuity

Gratuity is a lump sum payment made by an employer to an employee as a token of appreciation for services rendered.

Calculation of Gratuity

Gratuity = $(15/26) \times \text{Last Drawn Salary} \times \text{Number of Completed Years of Service}$. Here, 26 represents working days in a month.

Payment Timeline

Gratuity must be paid within 30 days from the date it becomes payable.

Forfeiture

Gratuity may be partially or fully forfeited if an employee is terminated for misconduct involving violence, moral turpitude, or damage to property.

Nomination

Employees are required to nominate family members to receive gratuity in case of death.

Conclusion

The Act ensures financial security for employees after retirement or termination, promoting social welfare and economic stability.